Massey University Investment Club

S&P 500 Q1 2026 Earnings Outlook

(Week ending 8 May, 2026)

Editors

Khant Min Zin | Treasurer, MUIC

About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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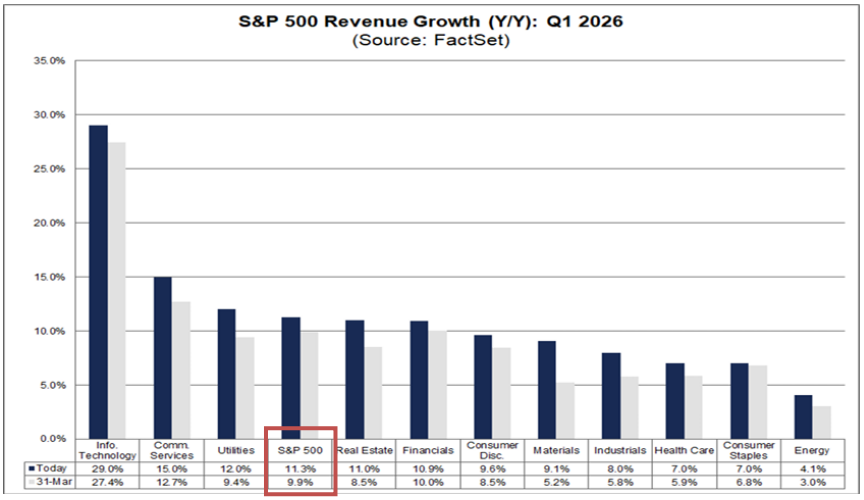
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With 89% of S&P 500 companies having reported by early May, we now have a clear enough picture of Q1 2026 earnings to draw some meaningful conclusions, and the results are materially better than most people expected heading into this quarter.

Revenue Growth Beat Across the Board

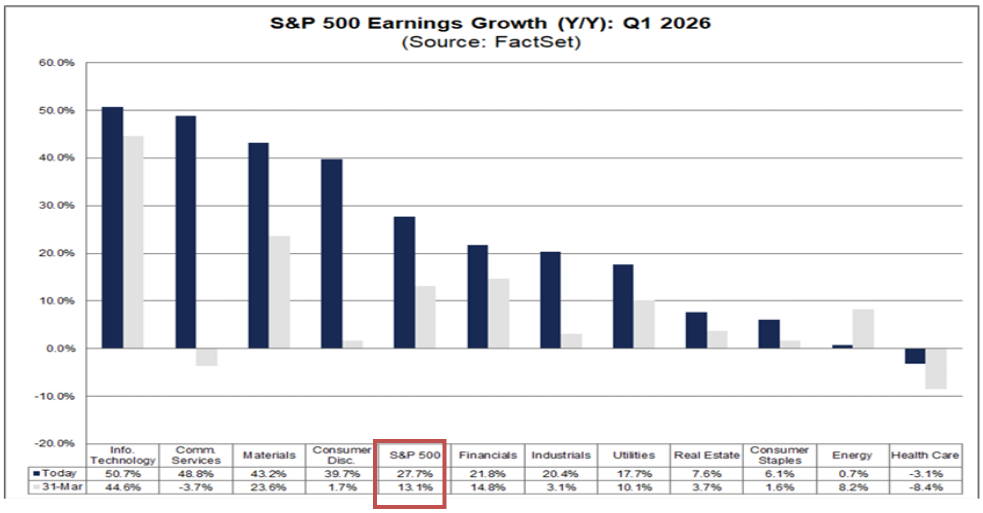
The most striking takeaway is that all 11 sectors of the S&P 500 posted year-over-year revenue growth, and the headline number came in well above where analysts had it pegged at the start of the quarter. At the end of Q1 (March 31), analysts were expecting blended revenue growth of around 9.9% for the index. The actual blended result has come in at 11.3%, the highest revenue growth rate the index has posted since Q2 2022. The standout was the Information Technology sector, which delivered revenue growth of 29%, led by strong results from Apple, Microsoft, Sandisk, and Intel. Meanwhile, 80% of S&P 500 companies beat their individual revenue estimates, above both the 5-year average of 70% and the 10-year average of 67%. The pessimism around revenue growth that many investors held at the start of the year turned out to be unjustified.



	Info. Technology	Comm. Services	Utilities	S&P 500	Real Estate	Financials	Consumer Disc.	Materials	Industrials	Health Care	Consumer Staples	Energy
Today	29.0%	15.0%	12.0%	11.3%	11.0%	10.9%	9.6%	9.1%	8.0%	7.0%	7.0%	4.1%
31-Mar	27.4%	12.7%	9.4%	9.9%	8.5%	10.0%	8.5%	5.2%	5.8%	5.9%	6.8%	3.0%

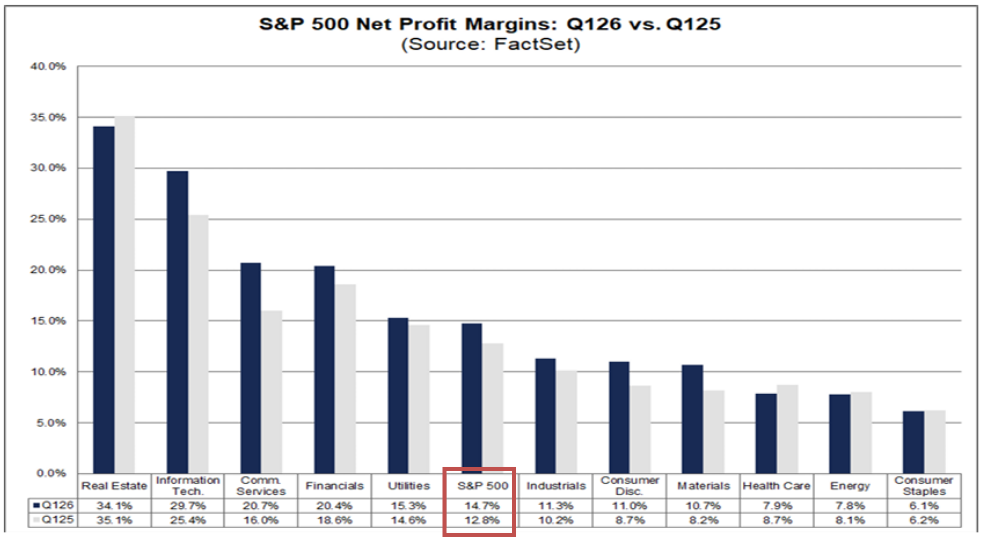
Earnings Were Mostly Strong Too

On the earnings side, the numbers are frankly exceptional. The blended earnings growth rate for Q1 2026 stands at 27.7%, the highest since Q4 2021 and the sixth consecutive quarter of double-digit year-over-year earnings growth for the index. Ten of the eleven sectors are reporting positive earnings growth, and seven of those ten are in double-digit territory. At the company level, 84% of reporting firms beat their EPS estimates, above the 5-year average of 78%, marking the highest beat rate since Q2 2021. The only sector reporting an earnings decline is Health Care, which continues to face structural headwinds.



Margins Are at an All-Time High

The most encouraging data point is the net profit margin. The blended net profit margin for the S&P 500 in Q1 2026 stands at 14.7%, well above the prior quarter's 13.2%, above the year-ago figure of 12.8%, and above the 5-year average of 12.3%. If this holds, it will mark the highest net profit margin since 2019. When both revenues and margins are expanding simultaneously, it is difficult to make a convincing case for an imminent recession, at least from the earnings data alone.



The K-Shaped Market Remains

However, the earnings growth story is heavily concentrated. Three Magnificent 7 companies; Alphabet, Amazon, and Meta, have been the single largest contributors to the index's earnings growth difference between actual and estimates. In Communication Services alone, if you strip out Alphabet and Meta, the sector flips from 48.8% earnings growth to a year-over-year *decline* of 4.6%. Similarly, in Consumer Discretionary, removing Amazon alone drops the sector's earnings growth rate from 39.7% to 14.9%. The headline index is performing well but it is performing well largely because a handful of very large technology-adjacent companies are performing extraordinarily well. The lower end of the consumer economy, reflected in sectors like Consumer Staples and Energy, tells a more cautious story. The market is doing well, but it is not doing well for everyone.

What About Valuation?

The S&P 500 is expensive by most traditional measures. The Shiller CAPE ratio, which uses the average of 10-year inflation-adjusted earning and is generally considered a more reliable long-run valuation measure, currently sits at approximately 42.05, more than double its long-run historical average of around 17 to 18.

The only reason for that situation is because of technology stocks, which dominate the index, naturally command higher multiples as high-growth businesses. As long as tech continues to deliver results like these, that premium is defensible. The main concern is that if a recession or a meaningful earnings deceleration were to appear, valuations at these levels leave very little margin for error.



Source: multpl